Private Market Deal Report

PRIVATE EQUITY

Private Equity Research Team

Christina Turner
Jeremy Suzman
Kathleen Praino
Mohak Agarwalla
Paulo Nicoli
Geetika Komati
Holiday Host
Jack Levy
Leonardo De Paoli
Zachary Gaoiran

Industry Landscape

Life science software: clinical trials, drug discovery, labs

Fast growth: 10%+ growth forecast, especially in cloud, AI, real-world data

Top vendors: Oracle, AWS, Veeva. 100+ niches

Drivers: R&D budgets up, precision medicine, analytics

Customers: biopharmas, generics, CROs, labs, hospitals, academia

Deal Structure

Instem shareholders will receive 833 pence ($10.65) per share that they hold. This represents a 41% premium to the share price immediately before the announcement of the investment

Target Profile

About: UK technology and software provider to the global life sciences market

Problem Solved: Aims to bring clients innovations to the market faster. Accelerate growth and impact.

Finances: Reported £58.9 M in revenue and pre-tax profit of £5.5 M

Scalability: Cloud-based solutions offer scalability for different business sizes. Support for diverse data types and volumes. Stays up to date with compliance requirements and regulations.

Investor Profile

About: French based Private Equity Firm founded in 2014 with a primary focus of supporting healthcare industries

Portfolio: £7 B ($7.6B) AUM with 85 total investments and 26 active portfolios

Strategy: Invests in small/medium sized profitable healthcare companies using PRI (Principles of Responsible Investing)

Value Add: Archimed has increased company growth rates by 60% compared to pre-Archimed performance

Target Post Vision

R&D Growth: Due to the freedom from reporting pressures associated with public markets, Instem is poised to accelerate its investment in R&D

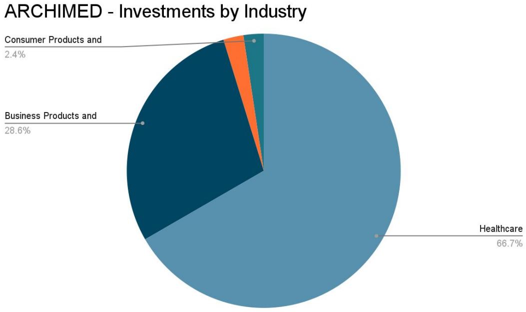
Medtalents: Archimed's network of senior healthcare executives who will offer counsel and facilitate growth for Instem

Investment Post Vision

Healthcare IT Portfolio: Instem is the latest in a series of recent healthcare investments for Archimed, including Title21, Actigraph, Aliri, and Corealis

International Reach: Archimed specializes in international growth, with a portfolio spanning across the US, Asia, and European markets

Analyst Statement



Archimed's take private investment into Instem expands their MED Platform II Fund portfolio which still has billions in capital to be deployed, and also expands their overarching portfolio of investments in the healthcare sector. This investment serves to relieve Instem to be of the constraint that can rise from being a public company and allows them to further invest in groundbreaking technology. Archimed appears to have strong conviction about the value of this investment considering the premium at which they were willing to acquire Instem

Industry Landscape

Overview: SaaS market size projected to grow from $273.55 billion in 2023 to $908.21 billion by 2030, at a CAGR of 18.7%. During COVID-19, remote work drastically increased demand for SaaS

Capabilities: New technologies such as Machine Learning (ML) and Artificial Intelligence (AI) will improve essential software features in SaaS, improving operational efficiency.

Risks: Lack of security for sensitive data (SaaS misconfiguration incidents)

Deal Structure

Overview: Global investment firm Carlyle made a majority investment in GBTEC

Status of Prior Shareholders:

- Founder/CEO Gregor Greinke to maintain significant equity ownership and continue as CEO
- Co-founder Marc-Oliver Stromberg and the rest of the GBTEC management team are reinvesting and investing respectively in equity
- Main Capital Partners, a notable investor in the company to date, has opted to divest.

Target Profile

Products: SaaS product portfolio covering Business Process Design & Modelling, Process Execution, Process Mining and Process Governance, Risk, and Compliance.

Differentiation: Modern and user-friendly products, driven by no-code/low-code tech and a state-of-the-art product platform. Expert customer support and a comprehensive range of training courses in the areas of BPM and GRC.

Firm info: Headquartered in Germany, GBTEC employs approximately 300 people at locations in Germany, Austria, Spain and Australia.

Investor Profile

The Firm: Carlyle at large has $382B AUM

The Fund: €3 billion fund focused on lower mid-market and growth B2B technologies in Europe. More than 20 years of experience in infrastructure software investments and supporting the internationalization of European software companies

Current holdings include SER Group, Shopware, CSS, 1E, Phrase, and Hack The Box

Target Post Vision

Capital Allocation: GBTEC plans to allocate substantial capital towards sales & marketing and AI. The company also aims to expedite international expansion and enhance its product portfolio, an emphasis on advancing digital process automation.

Market Position: Positioned to benefit from trends in business processes automation

Investment Post Vision

Future of the Fund: Aims to hold 20-30 companies, usually via majority stake. CEPT V is particularly targeting firms like GBTEC which are looking to go across borders.

CEPT V's investment into GBTEC provides Carlyle with an opportunity to continue their effective history in the space, expand the fund portfolio, and generate returns for investors

Analyst Statement

GBTEC is in a favorable position to take advantage of the insights Carlyle has to offer in regards to expanding their business beyond European borders and effectively positioning their products in the B2B technology space. With this investment, Carlyle expands their portfolio of European technology companies in the fund portfolio, and has an opportunity to continue their successful track record in the space. Considering the rapid rate fundraising fundraising and performance of previous iterations of the fund, investor expectations of return appear to be high